(ii) Issued at a premium

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Bank A/c (10,000 × 12) Dr.		1,20,000	
	To Equity share application A/c			1,20,000
	(Application money received)			
	Equity share application A/c Dr.		1,20,000	
	To Equity share capital A/c (10,000 × 10)			1,00,000
	To Securities premium A/c (10,000 × 2)			20,000
	(Application money transferred to share capital)			

7.10 Issue of shares for consideration other than cash

A company may issue shares for consideration other than cash when the company acquires fixed assets such as land and buildings, machinery, etc. Under such situation, the following journal entries are to be passed.

Date	Particulars	L.F.	Debit ₹	Credit ₹
	(i) For purchase of asset			
	Respective asset A/c Dr.		xxx	
	To Vendor A/c			xxx
	(ii) For issue of shares			
	Vendor A/c Dr.		xxx	
	To Equity share capital A/c			xxx
	To Securities premium A/c (if issued at premium)			xxx

A company may also issue shares as consideration for the purchase of business, to promoters for their services and to brokers and underwriters for their commission.

Illustration 20

Rajan Ltd. purchased machinery of ₹ 6,00,000 from Jagan Traders. It issued equity shares of ₹ 10 each fully paid in satisfaction of their claim. What entries will be made if such issue is made: (a) at par and (b) at a premium of 50%.

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